Samsung Electro-Mechanics: paid content in AI power and packaging

Higher processor power, faster networking and complex semiconductor packages need more capacitance, reliability and interconnect capability in limited space. Samsung Electro-Mechanics can earn more per system through qualified high-end MLCCs, silicon capacitors and advanced substrates. Manufacturing yield, customer integration and the ability to fund accepted output determine how much of that opportunity becomes profit.

The investment edge is the separation of physical content, product mix, pure repricing and paid costs. New pricing observations modestly strengthen the likelihood of existing margin and substrate outcomes. Strong growth was already in the forecast. The new anonymous package agreement improves visibility without adding its face value again to modeled sales.

Current analytical output	Value	Meaning
Q4 2027 model target	KRW 1,350,473 per share	Q4 2027 through Q3 2028 consolidated operating profit
Q1 2028 model target	KRW 1,483,270 per share	Q1 through Q4 2028 consolidated operating profit
Method	20x operating profit	77,600,680 gross common-equivalent issued units
Analytical score	47 / 60; 78 / 100	Seven-category assessment; High Conviction
Portfolio Excel Base	78 / 100	Separate existing owner control

Research date: October 21, 2026. The latest completed quarter ended June 30 and was released July 30. The October 20 Mirae page is broker research. Q3 results remain future: October 28 at 13:00 KST, or midnight starting October 28 in Toronto. No Q3 actual result or numerical consolidated quarterly guide is assumed. [S1; S22; S24]

Financial tables use KRW billions and whole-number display unless stated. Per-share targets use whole KRW. Nonzero amounts below KRW 1 billion appear as <1; true zeros remain 0. Nonzero rates below 1% appear as <1%. Small margin charges use basis points, where 100 basis points equal one percentage point. Source exhibit decimals remain unchanged. The linked model retains full precision. The technical supplement reconciles at the precision shown, and displayed subtotals can differ through rounding.

Business perimeter, bottlenecks and competition

Four invoice pools remain separate: established components excluding new silicon capacitors; new silicon capacitors; package substrates including glass-enabled products; and optics. MLCCs help stabilize power near demanding electronics. Silicon capacitors can provide low-inductance capacitance close to chips. Substrates connect advanced semiconductors to their surrounding system. Cameras earn module revenue in mobile, automotive and early robotics applications.

Ceramic powders and electrodes pass through multilayer fabrication, sintering and qualification. Package products add resin or glass, copper, larger bodies, more layers and embedded structures. Samsung Electro-Mechanics captures these components and process steps, rather than the full accelerator or server selling price. More layers or area can raise value per part while consuming production time and material.

Murata competes in high-reliability MLCCs; Three-Circle competes across different materials and specifications. Jianghai capacitors address different electrical roles. Ibiden, Shinko, Unimicron, Nan Ya PCB and other qualified substrate suppliers constrain pricing and compete for customers and materials. Camera modules have their own qualified suppliers and mobile-cycle exposure. These are technology and qualification bottlenecks within competitive markets.

AI-server MLCC leadership is a company claim for a high-end subset. It is distinct from independently verified share of the entire MLCC market. Broad capacitor sales also include products outside the selected MLCC exposure. Substitution, customers qualifying alternatives and new competing capacity prevent permanent monopoly credit. [S1; S6]

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TAM expansion and the route to company revenue

Opportunity stage	Paid company content	Boundary
2026-27: current design and delivery	High-capacitance MLCCs, advanced packages and signed component programmes	Qualified sales are already embedded in the established revenue pools
2027-28: wider adoption	Silicon-capacitor contract phasing, high-end mix and complex substrates	New SiCap is separate; package glass replaces part of the same package path
2029-30 and later	More retained design content, later renewals and new applications	Long-dated sales, yield and funding are LOW-confidence estimates

The direct demand anchors are dated component procurement and existing reported revenue. Customer identities, per-system content and supplier wallet shares remain confidential. A total AI-capex or SpaceX spending figure therefore supplies no second supplier-specific receipt. The model uses bounded company sales proxies rather than multiplying every watt, layer and server by the same spending total.

Thematic commercialization bands describe stages of an opportunity. They are not blanket probability discounts on every reported sale or signed contract. Numerical probabilities apply only to the separately defined commercial outcomes below. Optics, silicon capacitors and glass-enabled packaging do not receive duplicate market-value premiums.

More processor power can raise both MLCC content and the need for low-inductance silicon capacitors. These products can complement each other, yet adoption, yield and customer qualification decide the split. The existing SiCap vector is removed from the established-component margin scope so the same invoice cannot earn both revenue treatments.

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Latest actuals, cost calibration and the result boundary

Reported basis / period	Revenue	Cost of sales	Gross profit	Opex	Operating profit
Q1 2026 consolidated K-IFRS	3,209	2,549	660	380	281
Q2 2026 consolidated K-IFRS	3,457	2,613	845	404	440

Q1 operating profit includes KRW 71 billion severance provisioning, associated with a change in the wage basis used to calculate severance. The exact source amount remains in the supplement. It is a reported cost, not a new recurring margin forecast. The Q2 issuer deck states that its results were prepared before external audit completion. [S1; S23; S25]

Q2 business sales	KRW billion	Reporting scope
Components	1,649	Capacitors and other electronic components
Package solutions	772	FCBGA and BGA applications; no published ABF/BT/FC-CSP split
Optics	1,036	Mobile, automotive and other camera applications
Consolidated	3,457	Controls over transcription errors

The displayed July call incorrectly renders optical sales as KRW 1,362 billion. The issuer deck controls at approximately KRW 1,036 billion. Technical ASR errors in capacitance, voltage and component names are not used to construct physical units. [S1; S3]

The first modeled quarter is Q3 2026: KRW 3,870 billion sales. This is an analytical estimate, not company numerical guidance. Management described stronger high-end demand and sequential improvement. The actual-quarter product-margin calibration uses illustrative 32% components and 13% optics margins, with package profit solving the consolidated gross-profit anchor. Those product margins are not reported segment guidance.

Appendix

Income Statement

(Unit : KRW Billion)	2Q26	1Q26	QoQ	2Q25	YoY
Sales	3,457.2	3,209.1	8%▲	2,784.6	24%▲
Cost of Sales	2,612.7	2,548.8	3%▲	2,219.2	18%▲
Gross Profit (%)	844.5 (24.4%)	660.3 (20.6%)	28%▲	565.4 (20.3%)	49%▲
SG&A	404.1	379.7	6%▲	352.4	15%▲
Operating Profit (%)	440.4 (12.7%)	280.6 (8.7%)	57%▲	213.0 (7.6%)	107%▲
Non-operating income/expense	-7.1	35.8	-	-41.6	-
Pre-tax Profit (%)	433.3 (12.5%)	316.4 (9.9%)	37%▲	171.4 (6.2%)	153%▲
Income Tax	105.1	63.8	65%▲	34.2	207%▲
Continuing Operations	328.2	252.6	30%▲	137.2	139%▲
Discontinued Operations	0.1	0.1	-	-	-
Net Income (%)	315.7 (9.1%)	249.2 (7.8%)	27%▲	129.7 (4.7%)	143%▲

※ Net income attributable to owners of the parent

8

S1, original issuer Q2 income statement, PDF page 9 / printed slide 8. Consolidated K-IFRS results and source decimals remain unchanged. Product gross margins below are analytical allocations.

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Mirae evidence: observed assertion, forecast and missing terms

The October 20 Mirae front page attributes higher earnings estimates to higher MLCC prices for direct customers and BGA substrate prices. It describes prices rising across MLCCs and packages. This is a present-tense broker pricing assertion used in its forecasts. The page gives no signed customer price reset, realized like-for-like percentage, invoice sample or effective repricing schedule.

Its expectations for further ASP increases and simultaneous divisional improvement are forecasts. The anonymous customer being a memory manufacturer and a large FC-CSP share with some FC-BGA are expressly analyst beliefs. The broker infers wider shortage from customer procurement and supplier capacity shifting toward advanced packages; it does not disclose an issuer FC-CSP revenue allocation.

The BT argument concerns Taiwanese suppliers favoring ABF investment and possible Chinese prioritization of domestic memory customers. A shift of key materials toward ABF is conditional. No quantified new SEMCO BT pool, supplier price schedule or accepted-unit series is supplied. These correlated observations support a bounded existing commercial case, rather than separate full-size revenue shocks.

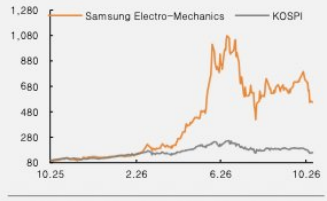
MIRAE ASSET
Securities

Equity Research
October 20, 2026

(Maintain)	**Buy**
Target price	**W2,800,000**
Current price (10/19/26)	W1,170,000
Upside	139.3%

OP (26F, Wbn)	2,182
Consensus OP (26F, Wbn)	2,046
EPS growth (26F, %)	159.9
Market EPS growth (26F, %)	277.0
P/E (26F, x)	49.5
Market P/E (26F, x)	5.6
KOSPI	5,768.01
Market cap (Wbn)	87,392
Shares (mn)	75
Free float (%)	73.6
Foreign ownership (%)	36.9
Beta (12M)	1.85
52-week low (W)	204,000
52-week high (W)	2,270,000

(%)	1M	6M	12M
Absolute	-15.7	72.3	465.2
Relative	0.8	85.0	267.4



009150 KS · Electrical/Electronic Components

Samsung Electro-Mechanics

Substrate supply shortages broaden

Earnings estimates raised; maintain TP at W2,800,000

We maintain our target price of W2,800,000 for Samsung Electro-Mechanics (SEMCO). We raised our 4Q26 and 2027 operating profit forecasts by 15% and 6% to W0.8tr and W4.8tr, respectively, reflecting higher prices for MLCCs supplied directly to customers and for BGA substrates. Notably, supply shortages are spreading beyond AI server MLCCs and FC-BGAs to general-purpose package substrates, with prices rising across both MLCCs and package substrates. We believe the company is entering a period of simultaneous earnings improvement across all divisions.

Supply shortages extend beyond FC-BGAs to FC-CSPs

SEMCO secured a W360.5bn deal to supply semiconductor package substrates to a major global customer, covering Jan. to Dec. 2027. We believe that the customer is a memory chipmaker and that the agreement includes a large proportion of FC-CSPs, along with some FC-BGA volume. This suggests that customers' efforts to secure supply through long-term agreements are extending beyond FC-BGAs to FC-CSPs. As substrate suppliers concentrate capacity on high-value-added FC-BGAs, we view the latest development as a sign of growing customer concern over FC-CSP availability and a deepening structural supply/demand imbalance across package substrates. This broader supply tightness raises the likelihood of further ASP increases.

Structural factors are likely to prolong the global shortage of BT substrates. Despite higher BT substrate prices, major Taiwanese suppliers continue to focus capacity expansion on high-value-added ABF substrates, while Chinese suppliers are likely to prioritize domestic memory customers when allocating capacity. If supplies of key materials also become increasingly geared toward ABF substrates, growth in BT substrate production would be further constrained. Korean suppliers are well positioned to fill the supply gap left by reduced Taiwanese investment in BT capacity, with SEMCO in particular likely to benefit over the medium/long term.

2027 earnings visibility secured; valuation focus shifts to 2028

The company has already signed long-term agreements covering around W3.5tr worth of supply in 2027, with cumulative contract value reaching W4.3tr when including silicon capacitor agreements covering 2027-28. Notably, major customers are moving quickly to secure volumes well ahead of 2027. Given intensifying competition among customers to secure capacity and substrate suppliers' limited ability to expand capacity, we expect supply shortages and the trend toward broader long-term agreement adoption to persist through 2028.

Mirae Asset, original October 20, 2026 front page. Private licensed source. Broker OP forecasts and target are not imported. Memory-customer identity, FC-CSP mix and future shortages remain attributed views. Original source numbers are unchanged.

Signed 2027 package contract and overlapping order totals

The October 19 DART filing independently establishes an annual package-substrate supply agreement signed October 18. Face value is approximately KRW 360 billion for January 1-December 31, 2027, translated from USD 267 million at the filing exchange rate. The counterparty is an unnamed global enterprise. The issuer identifies no BT, ABF, FC-CSP or FC-BGA split. [S21]

Primary term	Verified treatment
Exact signed product	Package-substrate supply
Supply period	Calendar 2027
Deposit or advance	None
Customer and key conditions	Withheld for business confidentiality through December 31, 2027
Later disclosure	Planned next business day after confidentiality period
Variation / termination	Amount and term may change; termination risk expressly disclosed
Missing commercial detail	No unit price, quantity, quarterly acceptance or cash-receipt schedule

The raw HTML was strictly decoded as CP949 and EUC-KR, producing identical Korean with zero replacement characters. The new UTF-8 extraction is verified against unchanged original bytes. Exact face value, USD amount and FX are retained in the supplement. The annual agreement is distinct from recognized sales or cash.

Mirae describes roughly KRW 3,500 billion 2027 supply and KRW 4,300 billion cumulative agreements including silicon capacitors spanning 2027-28. The scopes overlap. They cannot be summed into annual MLCC sales, and the two-year SiCap amount belongs to its own invoice pool.

The selected delivery judgment is 90% within a conditional zero-to-face-value bound. Economic revenue overlap is 100% with the existing KRW 4,800 billion 2027 package reference forecast. The contract is about 8% of that path and demonstrates procurement already needed by its strong ramp. Forecast overlap does not assert that the anonymous customer legally duplicates another agreement.

Contract overlap, costs and the meaning of the zero

Contract ledger	Active treatment	Why
Delivery probability	90%	Signed annual agreement, with confidential terms and amendment risk
Conditional delivery bound	Zero to the signed face value	Recognition requires delivery and acceptance
Forecast economic overlap	100%	Existing package path already assumes substantial qualified customer growth
Incremental sales / manufacturing / opex / OP	0 / 0 / 0 / 0	No independent extra output, pricing or delivery schedule established
Incremental project capex / financing	0 / 0	No new plant or advance cash follows from this filing
Deposit / advance credit	0	The primary filing explicitly reports no advance

Zero- and partial-overlap diagnostics test alternative attribution. Remaining face value is allocated by the retained 22% / 24% / 26% / 28% 2027 package phasing, with 70% manufacturing/depreciation cost and 12% opex. Those diagnostics assume access to already funded qualified capacity; the source does not establish spare capacity, exact shipments or a cash schedule. The active full-overlap case adds nothing and does not depend on that hypothetical capacity premise.

No second delivery haircut is applied to the already modeled reference sales. The signed contract, the broker's price view and the existing industry shortage evidence can concern overlapping procurement. They are not three independent sales opportunities.

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Existing component procurement and silicon-capacitor phasing

Calendar-2027 procurement includes the June MLCC disclosure of about KRW 454 billion, September issuer MLCC reporting around KRW 1,072 billion, September 29 MLCC/inductor supply around KRW 285 billion and the separate October 6 MLCC document around KRW 286 billion. Different filings and face values identify documents; they do not prove anonymous customer programmes are commercially disjoint. The gross documentary sum is not an additional sales forecast. [S5; S6; S11; S13]

The existing October 6 contract review uses 90% delivery probability and full forecast revenue overlap with the KRW 8,500 billion 2027 established-component path. Incremental sales, manufacturing cost, opex and operating profit remain zero. The separate SiCap agreement is excluded from that component order subtotal.

The October Hankyung report describes a near-signing Delta MLCC agreement around KRW 700 billion total value. It remains a report rather than a completed issuer contract. The retained 65% completion judgment and full forecast overlap add no sales or profit. Its years, quantity, margin and cash terms are unavailable. An

earlier anonymous power/electronics negotiation may concern the same event and supplies no independent second receipt. Reported prepayment practices for memory are not Delta MLCC terms. [S15; S16; S17]

The May silicon-capacitor disclosure totals approximately KRW 1,557 billion across 2027-28. The model phases KRW 600 billion in 2027 and KRW 957 billion in 2028, counting that face value once. Historical probability labels are not applied a second time to the owning sales path. Later KRW 1,500 billion and KRW 2,200 billion annual sales require renewals or additional business; the new page does not establish those orders. [S4]

MLCC margin outcome after baseline and paid costs

The selected joint outcome covers high-end mix, pricing and qualified manufacturing together. Its probability is 40% in 2027-28 only. The dated broker evidence adds modest support beyond the undated margin excerpt. Exact MLCC margins, pure pricing transmission and eligible sales remain unverified, while materials, currencies, yield and alternatives can absorb the benefit. The numerical probability is an analytical judgment, not a measured event frequency.

Significant increase in AI MLCC mix to elevate revenue and margin: We believe SEMCO's MLCC revenue and OP will sustain a solid growth trajectory despite the recent KRW appreciation, driven by ongoing tightness of MLCC supply leading to favorable ASP and better product mix from high-margin AI MLCC sales. Recently disclosed MLCC orders demonstrate this supplier-driven market (Exhibit 3), as customers are signing LTA contracts for MLCC supplies for 2027, which in total already account for roughly a quarter of our estimated MLCC revenue for 2027. As we believe most of these 2027 orders that have been disclosed were AI MLCC orders with higher margins and ASP, we revise up our AI MLCC revenue mix to 21%/32%/39% for 2026/2027/2028 (from 20%/26%/32% previously). We believe the primary drivers for this is both the meaningful increase in MLCC content per AI server as well as the ASP expansion coming from both the like-for-like price increase and product mix improvement within AI with strong orders for 47µF AI MLCCs. We also raise our overall MLCC OPM estimates to 20%/31%/37% for 2026/2027/2028 (18%/28%/35% previously) given the higher AI MLCC mix and the stronger pricing power we believe the company will likely possess.

S18, complete owner-supplied MLCC forecast excerpt, received October 12; author and report date unavailable. Its 31% / 37% conditional MLCC OP margins are forecasts. Highlighted LTA coverage uses estimated MLCC sales, not company revenue. Private research exhibit.

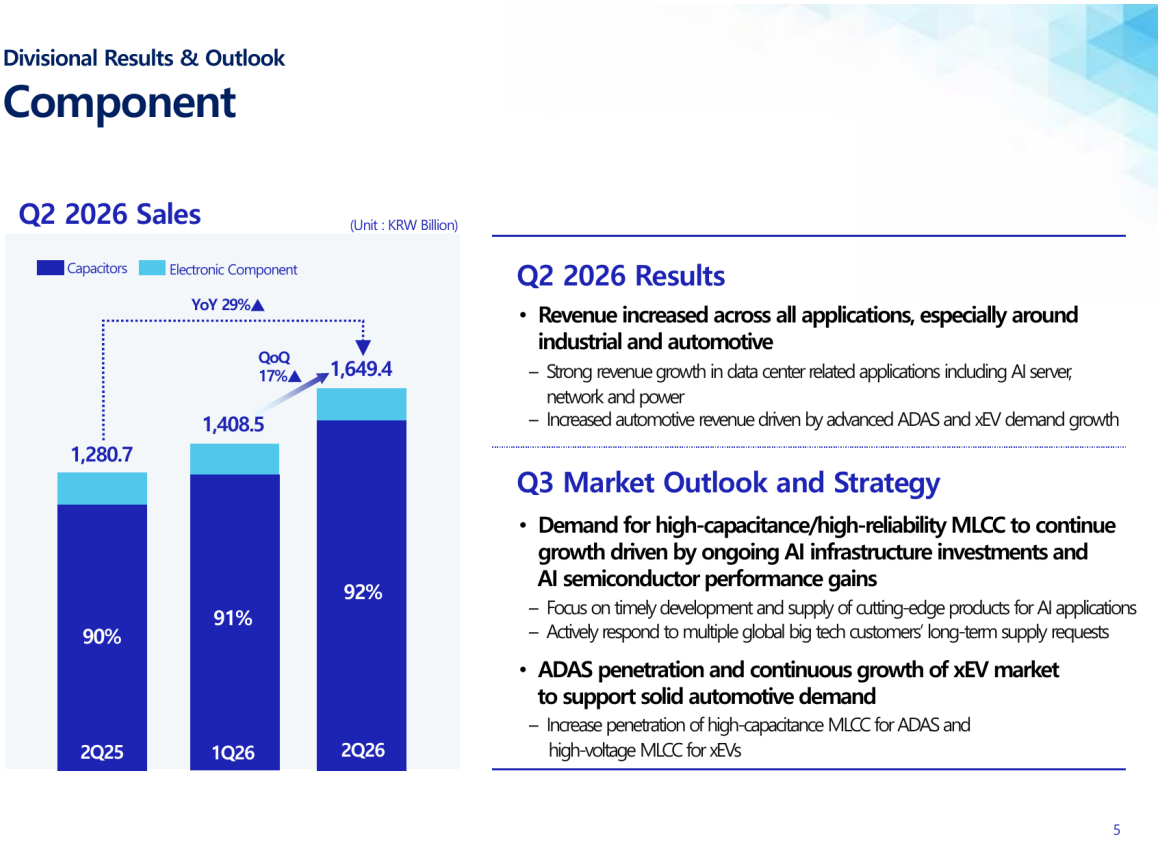
Margin ledger	2027	2028
Source conditional MLCC OP margin	31%	37%
Existing pooled OP margin removed	28%	31%
Gross residual; basis points	300	600
Extra manufacturing / qualification / D&A; basis points	35	35
Extra engineering / service; basis points	15	15
Net conditional residual; basis points	250	550
Eligible established-component share	80%	80%
Joint probability	40%	40%

The model first subtracts the FULL existing pooled margin before weighting the residual. Revenue overlap is 100%, and no further margin overlap is deducted after the full baseline subtraction. Separately multiplying

price, mix and yield probabilities would treat a correlated outcome as independent events. Neither LTA face values nor a new revenue pool are added.

Ordinary component production cost, depreciation and group overhead remain. The 35-basis-point manufacturing reserve and 15-basis-point engineering charge are extra. The exact MLCC overhead allocation is not independently reported, so the pooled operating-margin proxy is explicit. The case expires after 2028; no 2026 or 2029-plus margin addition is inferred.

MLCC exposure and the complete earnings bridge



S1, original July 30 component slide, PDF page 6 / printed slide 5. Capacitors are 92% of that historical component category and include more than MLCC. The selected 80% future MLCC exposure is an analytical proxy.

Each eligible quarter scopes established-component revenue by 80%. The conditional gross-profit increment removes the existing pooled margin and the extra manufacturing reserve. Engineering is charged separately. One 40% probability weights both amounts. New silicon capacitors are excluded from the established-component pool.

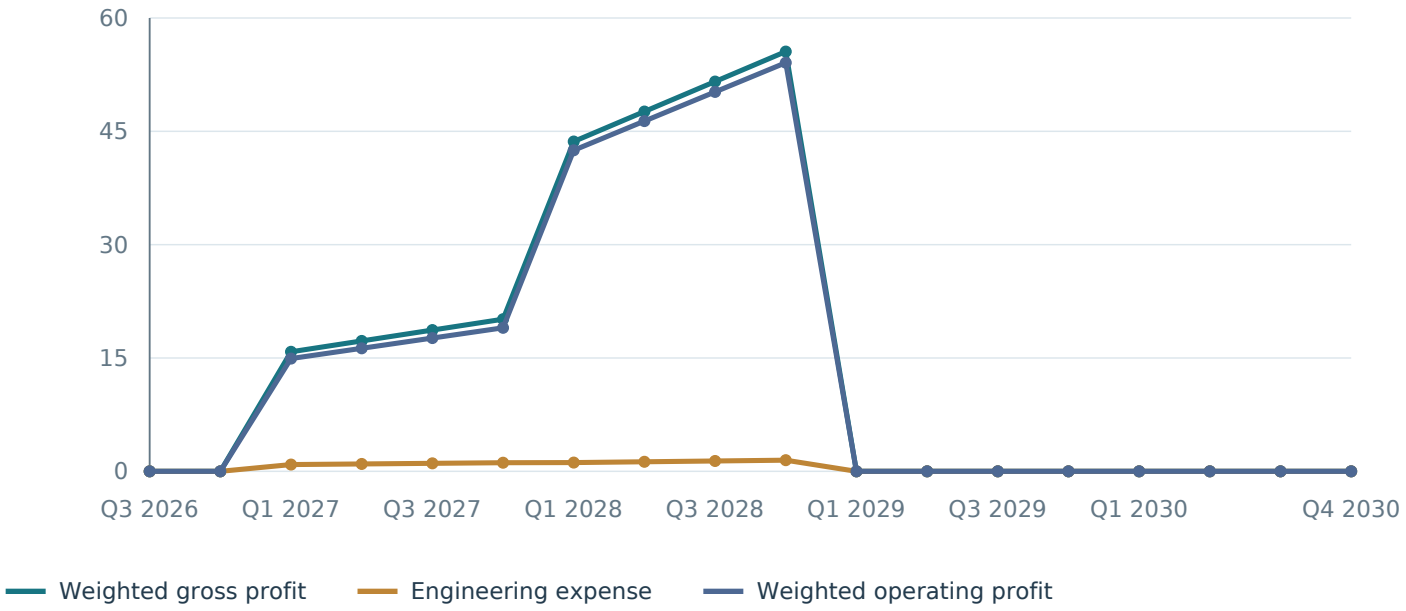
Quarter	Component R	p control	Cond. GP	Cond. eng.	Weighted GP	Wtd. eng.	Weighted OP
Q3 2026	1,850	40%	0	0	0	0	0

Quarter	Component R	p control	Cond. GP	Cond. eng.	Weighted GP	Wtd. eng.	Weighted OP
Q4 2026	1,950	40%	0	0	0	0	0
Q1 2027	1,870	40%	40	2	16	<1	15
Q2 2027	2,040	40%	43	2	17	<1	16
Q3 2027	2,210	40%	47	3	19	1	18
Q4 2027	2,380	40%	50	3	20	1	19
Q1 2028	2,420	40%	109	3	44	1	43
Q2 2028	2,640	40%	119	3	48	1	46
Q3 2028	2,860	40%	129	3	52	1	50
Q4 2028	3,080	40%	139	4	56	1	54
Q1 2029	2,860	40%	0	0	0	0	0
Q2 2029	3,120	40%	0	0	0	0	0
Q3 2029	3,380	40%	0	0	0	0	0
Q4 2029	3,640	40%	0	0	0	0	0
Q1 2030	3,300	40%	0	0	0	0	0
Q2 2030	3,600	40%	0	0	0	0	0
Q3 2030	3,900	40%	0	0	0	0	0
Q4 2030	4,200	40%	0	0	0	0	0

The probability column shows the selected control. Conditional GP and engineering are zero outside 2027-28, so the weighted outcome is also zero there.

MLCC margin contribution after paid costs

KRW billions; model estimates



One joint 2027-28 outcome. Manufacturing/qualification/depreciation reserve is already deducted before weighted GP. Engineering remains a separate paid cost. No new sales.

Quarter	Weighted gross profit	Engineering expense	Weighted operating profit
Q3 2026	0	0	0
Q4 2026	0	0	0
Q1 2027	16	<1	15
Q2 2027	17	<1	16
Q3 2027	19	1	18
Q4 2027	20	1	19
Q1 2028	44	1	43
Q2 2028	48	1	46
Q3 2028	52	1	50
Q4 2028	56	1	54
Q1 2029	0	0	0
Q2 2029	0	0	0
Q3 2029	0	0	0
Q4 2029	0	0	0

Quarter	Weighted gross profit	Engineering expense	Weighted operating profit
Q1 2030	0	0	0
Q2 2030	0	0	0
Q3 2030	0	0	0
Q4 2030	0	0	0

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Package pricing: industry magnitude and a bounded invoice pool

TrendForce's October 12 table forecasts 10-15% sequential quarterly ABF price increases from Q3 2026 through Q4 2027. It repeats the earlier industry view. Lead times of 48-56 weeks compare with a balanced-market benchmark of 12 weeks, not the prior week. This is an industry forecast and does not establish SEMCO customer terms. [S19]

Item	Status	Current Lead Time	Balanced Lead Time	Quick Take
CPU	Tight	25–30W	16–20W	Despite the continued expansion of server CPU supply across both mainstream and new platforms, customer orders remain difficult to fulfill.
GPU	Balanced	30-40W	30-40W	NVIDIA and AMD are expected to be shipping mainly Blackwell and MI350, respectively, while their next-generation Rubin and MI450 AI server systems still need time for tuning.
DRAM	Very Tight	20W	8W	PC OEMs' limited ability to absorb the 4Q26 contract price increases is prompting DRAM suppliers to reallocate bit supply from PC DRAM toward server DRAM, primarily to meet demand from US CSPs.
NAND (eSSD)	Tight	16W	8W	As with HDDs, CSPs are looking to secure eSSD supply through 2027. Lead times for eSSDs remain elevated.
HDD	Very Tight	50W	16W	CSPs remain eager to lock in supply with HDD vendors. Lead times show no signs of shortening through 2027.
ABF	Very Tight	48–56W	12W	Capacity additions for ABF substrates are lagging well behind fast-growing demand, which leaves little room for the shortage to ease in the near term. We expect sequential price increases of 10–15% per quarter from 3Q26 through 4Q27.
MLCC	Tight	35W	12W	Smartphone and notebook ODMs are slowing their MLCC inventory build. Consumer-grade MLCC demand is diverging: weak for low-capacitance products, strong for high-capacitance ones.

Status key
Very Tight = severe shortage **Tight** = constrained supply **Tightening** = conditions worsening
Balanced = supply-demand balance **Easing** = conditions improving

Source: TrendForce, Oct 12, 2026

TrendForce

S19, complete original TrendForce table including Quick Take. October 12, 2026. ABF price increases are industry forecasts. Consumer-grade and high-capacitance AI MLCC demand have different scopes. Private research source.

The selected commercial probability is 40% from Q4 2026 through Q4 2028. Broader company-specific BGA/BT/FC-CSP observations modestly support transmission, but exact subtype shares and net agreed prices remain missing. Conditional magnitude, exposure and cost controls remain fixed. Probability returns to the original 35% in 2029-30.

The package reference already contains output, richer mix and ordinary margin progression. Its eligible repriceable share is zero in Q3 2026, 20% in Q4, 35% / 50% / 65% / 75% across 2027, 80% in 2028, 60% in 2029 and 30% in 2030. Only 60% inside that pool captures the ABF industry scenario. The other 40% retains an 8% conditional premium. These are analytical scopes, not reported subtype shares.

Geometry, pass-through and conditional package costs



S12, original owner-supplied BofA-attributed package-substrate area chart, received October 6; underlying report date unknown. Area shortage percentages are industry estimates and do not directly become company price increases. Private research source.

A larger substrate can increase sales per piece at unchanged value per area. Extra layers, materials and process complexity can also increase both price and manufacturing resources. The SemiAnalysis discussion distinguishes Japanese area-based and Taiwanese piece-based series; a tripling in one series does not establish a threefold like-for-like SEMCO price increase. Five text posts were read; attached charts were not independently inspected. [S20]

The price calculation starts AFTER the already calibrated Q3 2026 base. Five 10% steps lead to a cumulative endpoint around 61% in Q4 2027. A sixth step is not applied to the base. The 2028 premium fades by the selected quarterly factors above an 8% tail; these persistence factors are analytical. In 2029-30, the original 8% premium and original probability remain.

Half of the conditional price contribution is removed for overlap with reference output, mix and margin growth. Manufacturing, materials and qualification consume 30% of the remaining price revenue, while ordinary group operating costs take another 12% through 2028. Only 58% reaches operating profit. Ordinary factory cost and depreciation stay paid.

The active product revenue factor already includes repricing. Reference package revenue is the input to the pricing calculation. Applying the same branch again to the active revenue factor would charge customers twice for one price outcome. No additional 25% cohort, new unit count or independent FC-CSP price premium is added.

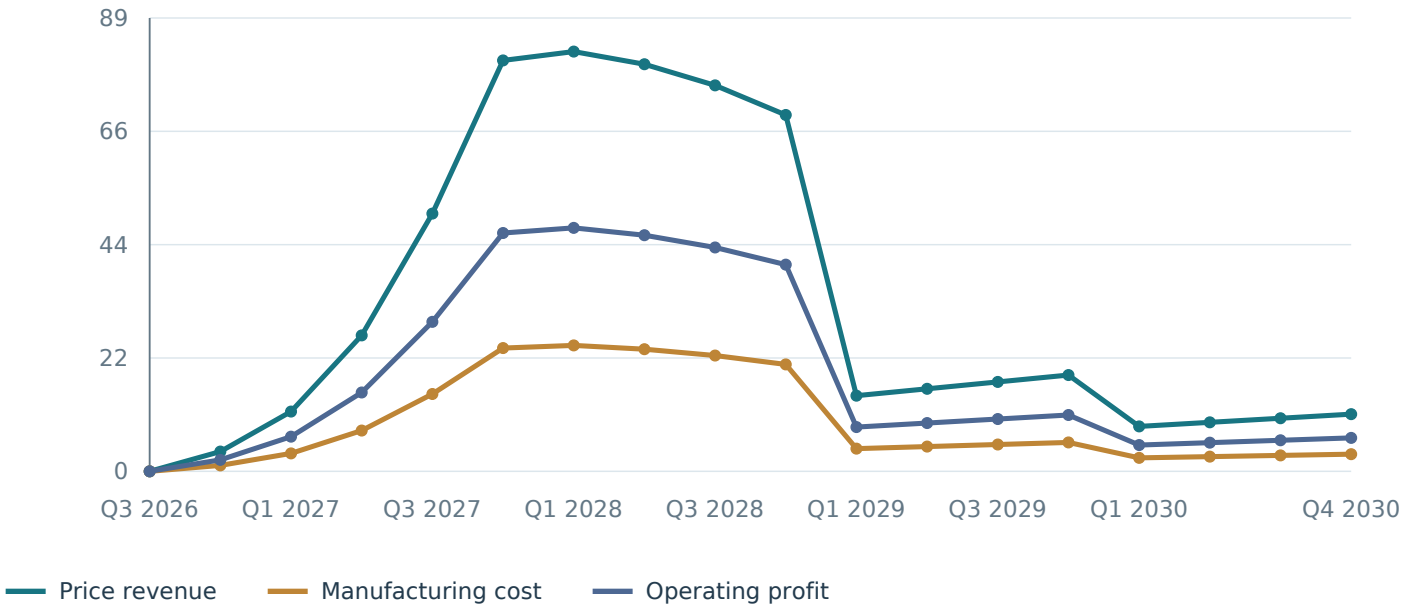
Package reference inputs, scopes and complete price bridge

Quarter	Reference R	Eligible share	ABF premium	Probability	Weighted price R	Price GP	Price opex	Price OP
Q3 2026	900	0%	0%	40%	0	0	0	0
Q4 2026	1,050	20%	10%	40%	4	3	<1	2
Q1 2027	1,056	35%	21%	40%	12	8	1	7
Q2 2027	1,152	50%	33%	40%	27	19	3	15
Q3 2027	1,248	65%	46%	40%	50	35	6	29
Q4 2027	1,344	75%	61%	40%	80	56	10	47
Q1 2028	1,430	80%	54%	40%	82	57	10	48
Q2 2028	1,560	80%	48%	40%	80	56	10	46
Q3 2028	1,690	80%	41%	40%	75	53	9	44
Q4 2028	1,820	80%	35%	40%	70	49	8	40
Q1 2029	1,760	60%	0%	35%	15	10	2	9
Q2 2029	1,920	60%	0%	35%	16	11	2	9
Q3 2029	2,080	60%	0%	35%	17	12	2	10
Q4 2029	2,240	60%	0%	35%	19	13	2	11
Q1 2030	2,090	30%	0%	35%	9	6	1	5
Q2 2030	2,280	30%	0%	35%	10	7	1	6
Q3 2030	2,470	30%	0%	35%	10	7	1	6
Q4 2030	2,660	30%	0%	35%	11	8	1	7

The conditional receipt uses reference revenue, the eligible pool, the 60% ABF / 40% non-ABF blend and the 50% overlap reserve. Probability enters once. The full saved branch is replaced by the selected current branch in the finite window, with no additional target probability.

Package pricing revenue and paid manufacturing support

KRW billions; model estimates

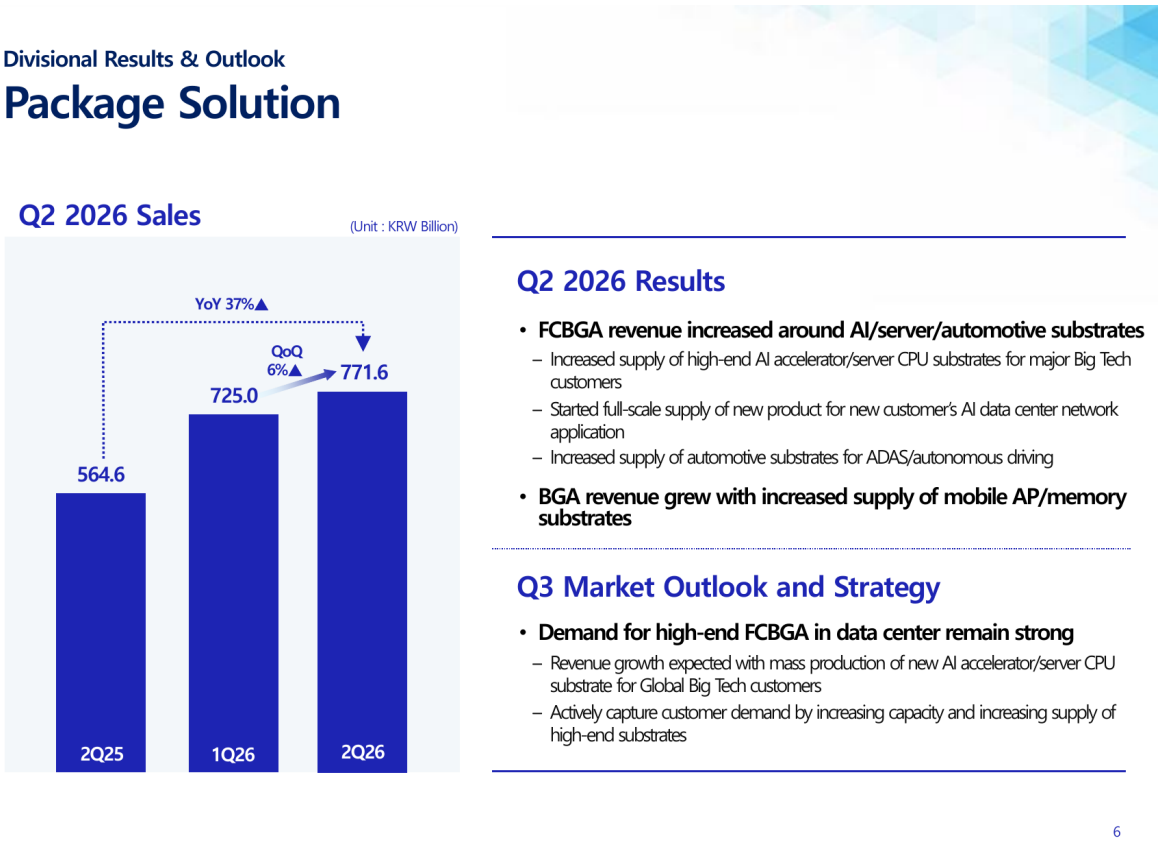


Total current package pricing branch, including previously modeled economics. Manufacturing and group opex remain paid. This entire contribution is not the fresh revision.

Quarter	Price revenue	Manufacturing cost	Operating profit
Q3 2026	0	0	0
Q4 2026	4	1	2
Q1 2027	12	4	7
Q2 2027	27	8	15
Q3 2027	50	15	29
Q4 2027	80	24	47
Q1 2028	82	25	48
Q2 2028	80	24	46
Q3 2028	75	23	44
Q4 2028	70	21	40
Q1 2029	15	4	9
Q2 2029	16	5	9
Q3 2029	17	5	10
Q4 2029	19	6	11
Q1 2030	9	3	5

Quarter	Price revenue	Manufacturing cost	Operating profit
Q2 2030	10	3	6
Q3 2030	10	3	6
Q4 2030	11	3	7

Advanced packages, glass and accepted manufacturing



S1, original July 30 package slide, PDF page 7 / printed slide 6. It describes AI/server/automotive FCBGA and mobile-AP/memory BGA, with new networking supply. It supplies no company ABF/BT/FC-CSP split or pure-price percentage.

The reference package path grows from KRW 4,800 billion in 2027 to KRW 6,500 billion, KRW 8,000 billion and KRW 9,500 billion in 2028-30. Those strong figures already require expanded qualified output and richer product content. Nominal plant area, larger packages and more layers do not independently establish more accepted good units.

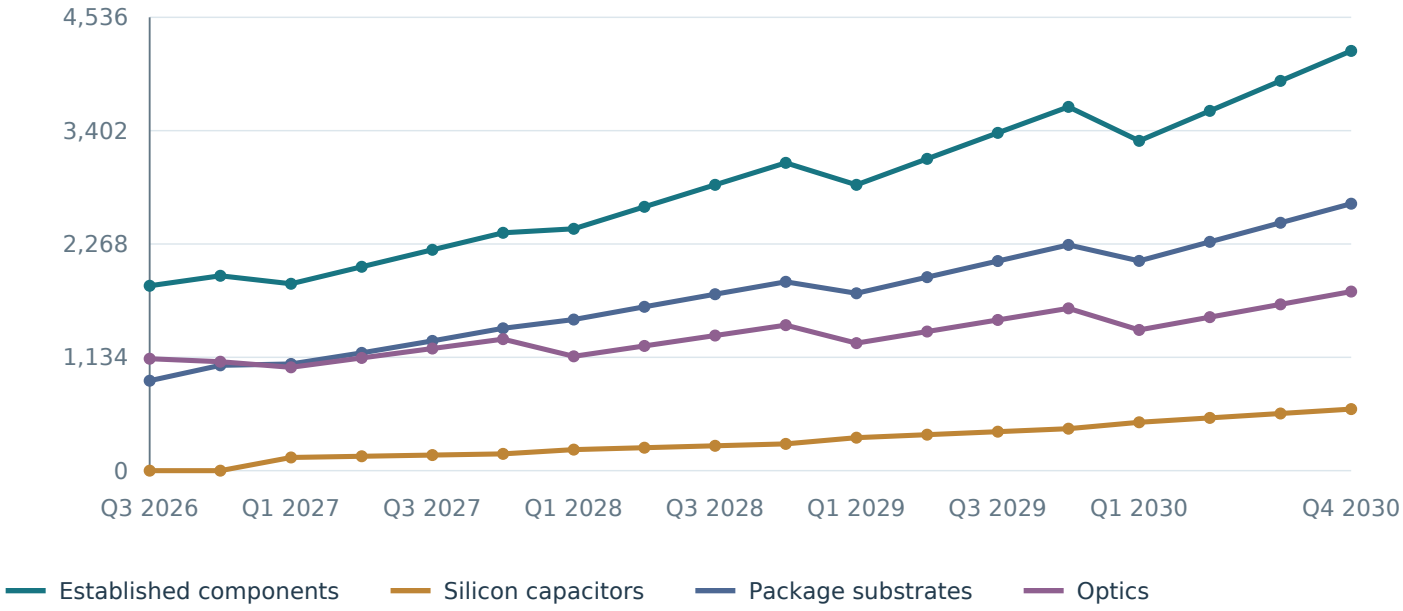
Glass-enabled products enter the same package path from 2028. No separate captive glass-core invoice, standalone joint-venture premium or second glass TAM is added. GlaSSEM ownership of about 66% concerns a subsidiary venture and is distinct from parent common/preferred share classes. Internal transactions must be eliminated. Glass qualification, yield and commercial timing remain execution risks. [S7]

The September expansion plan and glass commercialization are different milestones. Sejong mass production is scheduled for September 2028 and Vietnam operation by June 2030. The active earnings window includes the scheduled Sejong start within Q3 2028, not a full mature factory quarter. Existing revenue phasing is retained rather than pulling later capacity into 2027. [S10]

Four disjoint modeled revenue pools

Model revenue by disjoint invoice pool

KRW billions; model estimates



Established components exclude the new SiCap vector. Package sales already include the weighted price branch and glass-enabled products. MLCC margin changes add no revenue.

Quarter	Established components	Silicon capacitors	Package substrates	Optics
Q3 2026	1,850	0	900	1,120
Q4 2026	1,950	0	1,054	1,090
Q1 2027	1,870	132	1,068	1,034
Q2 2027	2,040	144	1,179	1,128
Q3 2027	2,210	156	1,298	1,222
Q4 2027	2,380	168	1,424	1,316
Q1 2028	2,420	211	1,512	1,144
Q2 2028	2,640	230	1,640	1,248

Quarter	Established components	Silicon capacitors	Package substrates	Optics
Q3 2028	2,860	249	1,765	1,352
Q4 2028	3,080	268	1,890	1,456
Q1 2029	2,860	330	1,775	1,276
Q2 2029	3,120	360	1,936	1,392
Q3 2029	3,380	390	2,097	1,508
Q4 2029	3,640	420	2,259	1,624
Q1 2030	3,300	484	2,099	1,408
Q2 2030	3,600	528	2,290	1,536
Q3 2030	3,900	572	2,480	1,664
Q4 2030	4,200	616	2,671	1,792

Each following product table shows all eighteen quarters. Gross profit retains materials, labor and ordinary production depreciation through the inherited gross-margin curves. The model lacks independently calibrated fixed/variable factory costs and asset commissioning cohorts. Future product margins are analytical allocations and LOW confidence, rather than company segment guidance.

Established MLCC and other components - all eighteen operating quarters

Quarter	Revenue	Manufacturing COGS	Gross profit	Gross margin
Q3 2026	1,850	1,203	648	35%
Q4 2026	1,950	1,229	722	37%
Q1 2027	1,870	1,106	764	41%
Q2 2027	2,040	1,207	833	41%
Q3 2027	2,210	1,307	903	41%
Q4 2027	2,380	1,408	972	41%
Q1 2028	2,420	1,336	1,084	45%
Q2 2028	2,640	1,457	1,183	45%
Q3 2028	2,860	1,578	1,282	45%
Q4 2028	3,080	1,700	1,380	45%
Q1 2029	2,860	1,602	1,258	44%
Q2 2029	3,120	1,747	1,373	44%
Q3 2029	3,380	1,893	1,487	44%
Q4 2029	3,640	2,038	1,602	44%
Q1 2030	3,300	1,848	1,452	44%
Q2 2030	3,600	2,016	1,584	44%
Q3 2030	3,900	2,184	1,716	44%
Q4 2030	4,200	2,352	1,848	44%

The component gross margin includes the selected weighted MLCC GP increment after its additional manufacturing/qualification reserve. New SiCap is excluded. The associated engineering charge remains below GP.

New silicon capacitors - all eighteen operating quarters

Quarter	Revenue	Manufacturing COGS	Gross profit	Gross margin
Q3 2026	0	0	0	25%
Q4 2026	0	0	0	25%
Q1 2027	132	79	53	40%
Q2 2027	144	86	58	40%
Q3 2027	156	94	62	40%
Q4 2027	168	101	67	40%
Q1 2028	211	120	91	43%
Q2 2028	230	131	99	43%
Q3 2028	249	142	107	43%
Q4 2028	268	153	115	43%
Q1 2029	330	185	145	44%
Q2 2029	360	202	158	44%
Q3 2029	390	218	172	44%
Q4 2029	420	235	185	44%
Q1 2030	484	271	213	44%
Q2 2030	528	296	232	44%
Q3 2030	572	320	252	44%
Q4 2030	616	345	271	44%

The two-year disclosed contract is phased once across 2027-28. Beyond-contract renewals and future product adoption remain assumptions. Zero 2026 sales are deliberate.

Package substrates including glass-enabled products - all eighteen operating quarters

Quarter	Revenue	Manufacturing COGS	Gross profit	Gross margin
Q3 2026	900	675	225	25%
Q4 2026	1,054	768	286	27%
Q1 2027	1,068	743	325	30%
Q2 2027	1,179	814	364	31%
Q3 2027	1,298	889	410	32%
Q4 2027	1,424	965	459	32%
Q1 2028	1,512	983	529	35%
Q2 2028	1,640	1,069	570	35%
Q3 2028	1,765	1,155	610	35%
Q4 2028	1,890	1,240	649	34%
Q1 2029	1,775	1,148	626	35%
Q2 2029	1,936	1,253	683	35%
Q3 2029	2,097	1,357	740	35%
Q4 2029	2,259	1,462	797	35%
Q1 2030	2,099	1,361	738	35%
Q2 2030	2,290	1,485	805	35%
Q3 2030	2,480	1,609	872	35%
Q4 2030	2,671	1,732	939	35%

Reference output/mix plus weighted price receipts give active package sales. Manufacturing cost includes the retained reference and added 30% price-cost reserve. Glass has no separate invoice pool.

Optics: mobile, automotive and early robotics - all eighteen operating quarters

Quarter	Revenue	Manufacturing COGS	Gross profit	Gross margin
Q3 2026	1,120	963	157	14%
Q4 2026	1,090	937	153	14%
Q1 2027	1,034	858	176	17%
Q2 2027	1,128	936	192	17%
Q3 2027	1,222	1,014	208	17%
Q4 2027	1,316	1,092	224	17%
Q1 2028	1,144	938	206	18%
Q2 2028	1,248	1,023	225	18%
Q3 2028	1,352	1,109	243	18%
Q4 2028	1,456	1,194	262	18%
Q1 2029	1,276	1,034	242	19%
Q2 2029	1,392	1,128	264	19%
Q3 2029	1,508	1,221	287	19%
Q4 2029	1,624	1,315	309	19%
Q1 2030	1,408	1,126	282	20%
Q2 2030	1,536	1,229	307	20%
Q3 2030	1,664	1,331	333	20%
Q4 2030	1,792	1,434	358	20%

Mobile and automotive ramps remain the main existing sales base. Early humanoid programmes do not provide a verified separate award amount; no new robotics receipt is added.

Consolidated manufacturing and operating expense

Ordinary group expense is KRW 120 for each KRW 1,000 of sales through 2028, and KRW 115 for each KRW 1,000 thereafter. The MLCC engineering charge is additional. Every new package price receipt also pays ordinary group opex. Cost growth is not suppressed merely because the top line carries scarcity pricing.

Quarter	Revenue	COGS	Gross profit	Ordinary group opex	MLCC eng.	Total opex	OP	OP margin
Q3 2026	3,870	2,841	1,029	464	0	464	565	15%
Q4 2026	4,094	2,934	1,160	491	0	491	669	16%
Q1 2027	4,104	2,786	1,317	492	<1	493	824	20%
Q2 2027	4,491	3,044	1,447	539	<1	540	907	20%
Q3 2027	4,886	3,304	1,583	586	1	587	995	20%
Q4 2027	5,288	3,566	1,723	635	1	636	1,087	21%
Q1 2028	5,287	3,376	1,910	634	1	636	1,275	24%
Q2 2028	5,757	3,680	2,077	691	1	692	1,385	24%
Q3 2028	6,226	3,984	2,242	747	1	749	1,494	24%
Q4 2028	6,694	4,287	2,407	803	1	805	1,602	24%
Q1 2029	6,241	3,968	2,272	718	0	718	1,555	25%
Q2 2029	6,808	4,329	2,479	783	0	783	1,696	25%
Q3 2029	7,375	4,690	2,686	848	0	848	1,837	25%
Q4 2029	7,943	5,051	2,892	913	0	913	1,979	25%
Q1 2030	7,291	4,607	2,684	838	0	838	1,846	25%
Q2 2030	7,954	5,025	2,928	915	0	915	2,014	25%
Q3 2030	8,616	5,444	3,172	991	0	991	2,181	25%
Q4 2030	9,279	5,863	3,416	1,067	0	1,067	2,349	25%

The numerator is consolidated K-IFRS operating profit. This report makes no general stock-compensation, R&D or depreciation add-back. Product manufacturing cost and ordinary group expense remain expensed. Future equity compensation, cash replacement, working capital and minority allocation require disclosure; a flat share proxy does not itself pay those costs.

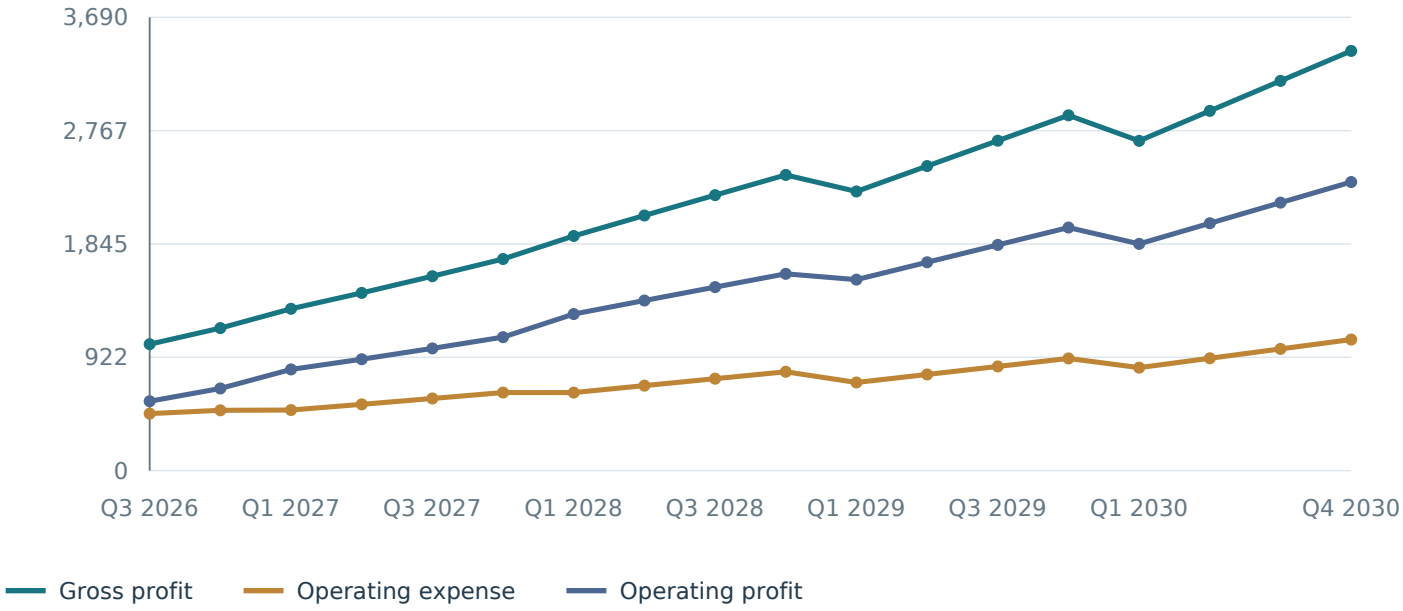
Q2 source gross profit and opex calibrate the actual starting economics. Later high margins require mix, yields, contract capture and disciplined costs. No source supplies a complete future product-specific wage,

tool-life, utilization or warranty schedule. Those limits remain visible instead of being converted into an invented detailed cash model.

Gross profit, operating costs and operating earnings

Model gross profit, operating expense and operating profit

KRW billions; model estimates



All forecast amounts use the retained consolidated OP basis. Ordinary manufacturing depreciation remains in cost. Operating profit is distinct from EBITDA, parent net income and free cash flow.

Quarter	Gross profit	Operating expense	Operating profit
Q3 2026	1,029	464	565
Q4 2026	1,160	491	669
Q1 2027	1,317	493	824
Q2 2027	1,447	540	907
Q3 2027	1,583	587	995
Q4 2027	1,723	636	1,087
Q1 2028	1,910	636	1,275
Q2 2028	2,077	692	1,385

Quarter	Gross profit	Operating expense	Operating profit
Q3 2028	2,242	749	1,494
Q4 2028	2,407	805	1,602
Q1 2029	2,272	718	1,555
Q2 2029	2,479	783	1,696
Q3 2029	2,686	848	1,837
Q4 2029	2,892	913	1,979
Q1 2030	2,684	838	1,846
Q2 2030	2,928	915	2,014
Q3 2030	3,172	991	2,181
Q4 2030	3,416	1,067	2,349

Capital spending, funding and financial constraints

June-quarter reported anchor	KRW billion	Meaning
Cash / debt	3,314 / 2,994	June30balance-sheet observations
Operating cash flow	557	Cash flow for the quarter
Tangible/intangible investment	604	Cash investment, distinct from depreciation
Simple CFO less investment	(47)	Limited cash-flow comparison, not distributable cash
Depreciation	255	Reported noncash production/asset expense

The September 29 programme totals KRW 6,780 billion: KRW 4,270 billion Sejong and KRW 2,510 billion Vietnam. Sejong spending runs September 2026-May 2028, with mass production in September 2028. Vietnam aims for operation by June 2030. Customer funding support and longer volume guarantees are announced, but exact cash received, capacity units, yields and pricing are undisclosed. [S10]

The new October agreement explicitly has no advance. Support for a described expansion cannot be transferred into a prepayment claim for every later award. No funding bonus or completed-cash claim is made. The long-range Busan strategy spans through 2040 and is not assigned wholly to one current year. [S8; S21]

Ordinary depreciation and qualification costs remain in the margin paths. The price weighting uses existing output paths; the announced expansion is still required. No incremental accepted units are added. The model lacks a full forward cash, debt maturity, lease-principal, customer-advance liability, asset activation and award/repurchase roll-forward. Current OP targets are conditional on the selected costs and funding execution; they are not verified free-cash-flow values.

Share classes, ownership and unit convention

The denominator is 77,600,680 gross common-equivalent issued units: 74,693,696 common and 2,906,984 preferred. It includes treasury shares and assumes no cancellation, repurchase benefit or future financing benefit. The October 6 DART ownership disclosure reconfirms both issued class totals. The reporting holder group's net change of 810 shares reflects secondary trading, not company issuance. [S14]

Preferred dividend and valuation rights differ. Equal economic units are an explicit simplified allocation of consolidated OP. Subsidiary minority interests are not separately attributed by product, and the method can overstate parent capture if those claims rise. GlaSSEM outside ownership is not an additional parent share class. No separately valued external glass-JV profit is added.

The retained method uses 20x current valuation-quarter OP plus the next three quarters. KRW billions multiplied by 1,000 and divided by shares in millions produces KRW per share. Parent ownership is 100%, parent cost zero and senior claim zero within this convention. These controls preserve the existing method rather than imply that financing claims do not exist.

The forward denominator is a gross economic proxy, not a falsely certain future diluted EPS count. Source issued classes are verified as of October 6; subsequent awards, issuances, cancellations and minority claims remain monitoring items. No EPS, enterprise-value, net-income or broker multiple replaces the stated OP calculation.

Seven-category analytical scorecard

Category	Points	Current assessment
Core Thesis	17	Ceramic processing, yield and advanced-package qualification create engineering barriers, with real competing suppliers.
Cycle Stage	9	Tight high-end supply and signed 2027 procurement support visibility, while acceptance and customer deployment remain conditions.
TAM Expansion	9	Power density, SiCap and complex packages broaden paid content already represented in the invoice pools.
Catalysts	5	October 28 results, 2027 deliveries and later glass/Sejong milestones are distinct and remain prospective.
Macro	8	AI and automotive demand is strong; mobile demand, FX, materials and funding constrain conversion.
Alpha	4	Contract scope, overlap and cost-paid price realization provide the useful analytical edge. Broad AI interest does not add a discovery bonus.
Risks	-5	Capacity/yield,competitive pricing/materials,customer concentration,technology qualification and capital/financial claims each count once.
Total	47 / 60 = 78 / 100	High Conviction; separately protected Excel Base 78

Every category was reassessed. New pricing evidence changes finite operating probabilities without proving a new completed catalyst, monopoly, funded factory or private source advantage. Analytical Base remains 78 and the separate protected Excel Base remains 78. Neither score is an additional probability haircut to operating profit or the target.

All fifteen complete operating-profit targets

All fifteen valuation-quarter targets

KRW per share; conditional operating-profit valuation



Q4 2027 values Q4 2027 through Q3 2028. All observations use four complete OP terms, 20x and the same exact gross-share denominator. No horizon roll or current price input.

Quarter	KRW per share
Q3 2026	764,174
Q4 2026	875,053
Q1 2027	982,715
Q2 2027	1,098,824
Q3 2027	1,221,936
Q4 2027	1,350,473
Q1 2028	1,483,270
Q2 2028	1,555,465
Q3 2028	1,635,708
Q4 2028	1,724,247
Q1 2029	1,821,327
Q2 2029	1,896,344

Quarter	KRW per share
Q3 2029	1,978,180
Q4 2029	2,066,836
Q1 2030	2,162,311

Valuation quarter	Earnings window	Four-quarter OP	Multiple	Issued units	Target KRW
Q3 2026	Q3 2026 - Q2 2027	2,965	20x	77,600,680	764,174
Q4 2026	Q4 2026 - Q3 2027	3,395	20x	77,600,680	875,053
Q1 2027	Q1 2027 - Q4 2027	3,813	20x	77,600,680	982,715
Q2 2027	Q2 2027 - Q1 2028	4,263	20x	77,600,680	1,098,824
Q3 2027	Q3 2027 - Q2 2028	4,741	20x	77,600,680	1,221,936
Q4 2027	Q4 2027 - Q3 2028	5,240	20x	77,600,680	1,350,473
Q1 2028	Q1 2028 - Q4 2028	5,755	20x	77,600,680	1,483,270
Q2 2028	Q2 2028 - Q1 2029	6,035	20x	77,600,680	1,555,465
Q3 2028	Q3 2028 - Q2 2029	6,347	20x	77,600,680	1,635,708
Q4 2028	Q4 2028 - Q3 2029	6,690	20x	77,600,680	1,724,247
Q1 2029	Q1 2029 - Q4 2029	7,067	20x	77,600,680	1,821,327
Q2 2029	Q2 2029 - Q1 2030	7,358	20x	77,600,680	1,896,344
Q3 2029	Q3 2029 - Q2 2030	7,675	20x	77,600,680	1,978,180
Q4 2029	Q4 2029 - Q3 2030	8,019	20x	77,600,680	2,066,836
Q1 2030	Q1 2030 - Q4 2030	8,390	20x	77,600,680	2,162,311

All eighteen operating quarters are shown. The final three support earlier complete four-quarter windows and are not assigned partial targets. Longer-dated paths require continuing customer wins, qualified supply and paid investment.

Complete four-term earnings chains 1-3

Q3 2026 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q3 2026	565
2	Q4 2026	669
3	Q1 2027	824
4	Q2 2027	907
Sum	Forward four quarters	2,965
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 764,174 per share

Q4 2026 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q4 2026	669
2	Q1 2027	824
3	Q2 2027	907
4	Q3 2027	995
Sum	Forward four quarters	3,395
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 875,053 per share

Q1 2027 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q1 2027	824
2	Q2 2027	907
3	Q3 2027	995
4	Q4 2027	1,087
Sum	Forward four quarters	3,813
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 982,715 per share

Complete four-term earnings chains 4-6

Q2 2027 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q2 2027	907
2	Q3 2027	995
3	Q4 2027	1,087
4	Q1 2028	1,275
Sum	Forward four quarters	4,263
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,098,824 per share

Q3 2027 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q3 2027	995
2	Q4 2027	1,087
3	Q1 2028	1,275
4	Q2 2028	1,385
Sum	Forward four quarters	4,741
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,221,936 per share

Q4 2027 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q4 2027	1,087
2	Q1 2028	1,275
3	Q2 2028	1,385
4	Q3 2028	1,494
Sum	Forward four quarters	5,240
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,350,473 per share

Complete four-term earnings chains 7-9

Q1 2028 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q1 2028	1,275
2	Q2 2028	1,385
3	Q3 2028	1,494
4	Q4 2028	1,602
Sum	Forward four quarters	5,755
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,483,270 per share

Q2 2028 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q2 2028	1,385
2	Q3 2028	1,494
3	Q4 2028	1,602
4	Q1 2029	1,555
Sum	Forward four quarters	6,035
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,555,465 per share

Q3 2028 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q3 2028	1,494
2	Q4 2028	1,602
3	Q1 2029	1,555
4	Q2 2029	1,696
Sum	Forward four quarters	6,347
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,635,708 per share

Complete four-term earnings chains 10-12

Q4 2028 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q4 2028	1,602
2	Q1 2029	1,555
3	Q2 2029	1,696
4	Q3 2029	1,837
Sum	Forward four quarters	6,690
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,724,247 per share

Q1 2029 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q1 2029	1,555
2	Q2 2029	1,696
3	Q3 2029	1,837
4	Q4 2029	1,979
Sum	Forward four quarters	7,067
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,821,327 per share

Q2 2029 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q2 2029	1,696
2	Q3 2029	1,837
3	Q4 2029	1,979
4	Q1 2030	1,846
Sum	Forward four quarters	7,358
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,896,344 per share

Complete four-term earnings chains 13-15

Q3 2029 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q3 2029	1,837
2	Q4 2029	1,979
3	Q1 2030	1,846
4	Q2 2030	2,014
Sum	Forward four quarters	7,675
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 1,978,180 per share

Q4 2029 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q4 2029	1,979
2	Q1 2030	1,846
3	Q2 2030	2,014
4	Q3 2030	2,181
Sum	Forward four quarters	8,019
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 2,066,836 per share

Q1 2030 valuation: four explicit OP terms

Term	Operating quarter	Consolidated OP
1	Q1 2030	1,846
2	Q2 2030	2,014
3	Q3 2030	2,181
4	Q4 2030	2,349
Sum	Forward four quarters	8,390
Valuation	Sum x 20 x 1 billion / 77,600,680 units	KRW 2,162,311 per share

Annual operating trajectory

Calendar year	Quarters shown	Revenue	Gross profit	Opex	Operating profit
2026	2	7,964	2,190	956	1,234
2027	4	18,769	6,069	2,256	3,813
2028	4	23,964	8,636	2,881	5,755
2029	4	28,367	10,329	3,262	7,067
2030	4	33,140	12,201	3,811	8,390

2026 contains two forecast quarters, not a full actual-plus-estimate year. Each later annual total contains four modeled quarters. These sums reconcile the same operating schedule and supply no additional valuation method or sales pool.

Reference annual pool	2027	2028	2029	2030
Established components	8,500	11,000	13,000	15,000
New SiCap	600	957	1,500	2,200
Package reference before price branch	4,800	6,500	8,000	9,500
Optics	4,700	5,200	5,800	6,400

Reference packages differ from active package sales because the active column already includes the pricing outcome. SiCap beyond its two-year contract and outer-year gross margins remain LOW-confidence assumptions. No gross anonymous award is added again to these strong reference paths.

Twenty-two diagnostic outcomes and their controls

Diagnostic	Q4 2027 target KRW	Active F4 OP	Meaning
Before saved input state	1,334,336	5,177	Restores all saved economics
MLCC probability 0%	1,309,640	5,081	One alternative input; other selected economics retained
MLCC probability 30%	1,340,265	5,200	One alternative input; other selected economics retained
MLCC probability 40%	1,350,473	5,240	One alternative input; other selected economics retained
MLCC probability 50%	1,360,681	5,279	One alternative input; other selected economics retained
MLCC probability 100%	1,411,722	5,478	One alternative input; other selected economics retained
Package probability 0%	1,303,041	5,056	One alternative input; other selected economics retained
Package probability 35%	1,344,544	5,217	One alternative input; other selected economics retained
Package probability 40%	1,350,473	5,240	One alternative input; other selected economics retained
Package probability 50%	1,362,331	5,286	One alternative input; other selected economics retained
Package probability 100%	1,421,621	5,516	One alternative input; other selected economics retained
MLCC exposure 60%	1,340,265	5,200	One alternative input; other selected economics retained
MLCC exposure 92%	1,356,598	5,264	One alternative input; other selected economics retained
ABF eligible-pool share 40%	1,338,451	5,193	One alternative input; other selected economics retained
ABF eligible-pool share 80%	1,362,495	5,287	One alternative input; other selected economics retained
Industry rate upper 15%	1,377,724	5,346	One alternative input; other selected economics retained
Marginal residual extra cost 10%	1,348,705	5,233	One alternative input; other selected economics retained

Diagnostic	Q4 2027 target KRW	Active F4 OP	Meaning
Economic shares +5%	1,286,165	5,240	One alternative input; other selected economics retained
Economic shares +10%	1,227,703	5,240	One alternative input; other selected economics retained
Contract economic overlap 100%	1,350,473	5,240	One alternative input; other selected economics retained
Contract economic overlap 75%	1,351,526	5,244	One alternative input; other selected economics retained
Contract economic overlap 0%	1,354,687	5,256	One alternative input; other selected economics retained

The saved-state control restores both prior probability choices and all saved targets. Single MLCC or package probability diagnostics alter their own outcome while retaining the other selected pool. Probability zero removes that whole outcome, not merely the latest change. Probability 100% is a conditional bound, not another active forecast.

Exposure diagnostics distinguish the 80% MLCC proxy from the broader 92% reported capacitor category, and the 60% ABF share inside the eligible package pool from total package sales. The 15% industry-rate test changes the five-step scenario without creating a sixth base-quarter increase.

The extra-cost case adds the new-minus-saved MLCC GP and new-minus-saved package GP first, after retained manufacturing costs and before engineering/group overhead. It charges 10% of that combined amount only when the combined amount is positive; the two contributions are not separately floored. GP and OP decline once; sales and opex stay unchanged. Share cases change only the denominator. Contract overlap cases use the hypothetical 18% OP conversion and conditional qualified-capacity premise already described.

The finite probability revision leaves 2029/30 operating amounts unchanged. Valuation windows that include earlier 2028 earnings can still differ until those quarters leave the window. The complete 22-case quarterly/valuation paths remain in the linked model and formula workbook.

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Exact before-and-after comparison of the same earnings window

The current Q4 2027 through Q3 2028 window gains approximately KRW 40 billion OP from the MLCC probability change and KRW 23 billion from the package probability change, totaling KRW 63 billion. Those are fresh changes against the saved model. They are smaller than the full contribution of the existing active commercial branches.

Quarter	Fresh MLCC GP	Fresh MLCC engineering	Fresh MLCC OP	Fresh package R	Fresh package OP	Total fresh OP
Q3 2026	0	0	0	0	0	0

Quarter	Fresh MLCC GP	Fresh MLCC engineering	Fresh MLCC OP	Fresh package R	Fresh package OP	Total fresh OP
Q4 2026	0	0	0	<1	<1	<1
Q1 2027	4	<1	4	1	<1	5
Q2 2027	4	<1	4	3	2	6
Q3 2027	5	<1	4	6	4	8
Q4 2027	5	<1	5	10	6	11
Q1 2028	11	<1	11	10	6	17
Q2 2028	12	<1	12	10	6	17
Q3 2028	13	<1	13	9	5	18
Q4 2028	14	<1	14	9	5	19
Q1 2029	0	0	0	0	0	0
Q2 2029	0	0	0	0	0	0
Q3 2029	0	0	0	0	0	0
Q4 2029	0	0	0	0	0	0
Q1 2030	0	0	0	0	0	0
Q2 2030	0	0	0	0	0	0
Q3 2030	0	0	0	0	0	0
Q4 2030	0	0	0	0	0	0

Q4 2027 same-quarter comparison	Saved	Current
Four-quarter OP; KRW billion	5,177	5,240
Target; KRW per share	1,334,336	1,350,473
Revision	-	+1%

Only this dedicated comparison and precision supplement show the earlier saved outputs. Main operating tables already contain the selected current branches once. No bank forecast revision, changed earnings horizon or market-price movement is included in this economic comparison.

Scored risks and concrete failure channels

Risk class	Points	Failure channel
Capacity and yield	-1	High-end substrate area/layers absorb capacity; installation is not qualified output.
Competitive pricing and raw materials	-1	Murata and other qualified suppliers compete; metal, energy and glass costs can offset ASP gains.
Customer and contract concentration	-1	Unnamed counterparties and confidential termination terms limit visibility.
Technology adoption	-1	SiCap and glass manufacturing must qualify on schedule; packaging architecture may change.
Capital intensity and financial claims	-1	Expansion consumes cash; preferred shares and subsidiary minorities share economics.

Substrate price increases can coincide with higher metal, energy and glass costs, larger bodies or more layers. The company must retain net profit after those costs. Tight capacity may encourage customers to secure volume while still negotiating price, cancellation or specification terms. A longer agreement improves visibility without eliminating manufacturing and customer risk.

MLCC competitors can expand high-end capability, while packaging architecture can alter where capacitance and interconnect value sit. Glass and SiCap must qualify economically. Mobile weakness can offset AI demand. Capital intensity and subsidiary/preferred claims can limit the cash ultimately attributable to parent shareholders.

Dated checkpoints and cross-company overlap

Checkpoint	Evidence to examine	Counter or response
October 28 results	Reported Q3 mix, ASP, yield, inventory and costs versus modeled KRW 3,870 billion sales	No unreported beat assumed. Separate mix and material pass-through from pure price.
Calendar 2027 delivery	Contract acceptance, amendments, confidential customer scope and actual margins	Gross face values do not add to sales without new qualified capture.
2027-28 MLCC case	High-end mix,manufacturer net pricing, qualified output and cost-paid margin	A mismatch reduces the defined joint outcome; do not add a second LTA shock.
2026 Q4-2028 package pricing	Like-for-like price, area/layer units, eligible contracts and cost inflation	A higher price per piece can consume more materials/capacity.
September 2028 / June 2030	Sejong/Vietnam commissioning and commercial acceptance	Construction does not create a full mature quarter of recognized sales.
Every filing	Cash/debt, capex, yield, issued classes, awards and minority claims	Revise financial capture with disclosed economics rather than an assumed share-price buyback.

Memory, optical networking, power electronics and packaging share AI customer budgets. Their addressable spending cannot all be summed into SEMCO revenue. Kingboard and laminates sell inputs at a different margin layer. Hyperscalers and semiconductor designers may drive demand, but confidential counterparties are not named by inference.

The most useful test is net producer earnings from accepted output after manufacturing and operating costs. An LTA count, a substrate area forecast or a broad AI spending headline alone does not establish that result.

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Call completeness, dates and remaining evidence gaps

All displayed April 30 and July 30 prepared remarks, question-and-answer segments and closings were read: nineteen and fifteen displayed speaker segments respectively. These are EarningsCalls.dev reproductions. The host also labels access as a first-half preview; displayed closing does not certify full original-audio coverage. Primary audio was not listened to or independently compared. [S2; S3]

The official issuer index links April and July replay pages. Their preserved HTML identifies the two recordings through an RTMP player, but exposes no official transcript. Finding those paths does not upgrade ASR wording into verified issuer text. The issuer decks and releases control reported amounts. Technical ASR errors are not modeled.

The single Mirae front page is dated and attributed, while its author and remaining report are unavailable. The older MLCC margin excerpt remains undated and unattributed. Their pricing/margin reasoning can inform a

positive bounded commercial judgment without establishing exact producer margins. Neither full bank report nor confidential contract terms were supplied.

Missing company subtype revenues, like-for-like ASP/units/area/layer series, manufacturing cohorts, complete cash financing and minority allocations limit confidence. Official confirmation is not required before considering credible evidence; its economic scope, overlap, costs and timing must remain explicit. No full funding or free-cash-flow verification is claimed.

Source register and private exhibit provenance

S1 | July 30, 2026. Issuer Q2 earnings deck.

S2 | April 30, 2026. Displayed Q1 management discussion, third-party reproduction.

S3 | July 30, 2026. Displayed Q2 management discussion, third-party reproduction.

S4 | May 20, 2026. Silicon-capacitor supply disclosure.

S5 | June 30, 2026. MLCC supply disclosure.

S6 | September 1, 2026. Issuer largest MLCC agreement announcement.

S7 | July 2, 2026. Glass joint-venture investment.

S8 | July 3, 2026. Long-term Busan investment strategy.

S10 | September 29, 2026. Issuer FCBGA expansion plan.

S11 | September 29, 2026; signed September 28. MLCC and inductor supply agreement.

S13 | October 6, 2026. Original Korean MLCC agreement.

S14 | October 6, 2026. DART issued-class totals in ownership disclosure.

S15 | October 9, revised October 11, 2026. Hankyung near-signing Delta report.

S16 | September 20, 2026. Digital Times report carried by Daum.

S17 | October 6, 2026. Yonhap cumulative agreement reporting.

S19 | October 12, 2026. TrendForce Weekly Radar 005.

S20 | October 12, 2026. SemiAnalysis area-versus-piece discussion.

S21 | October 19, 2026; signed October 18. Original package-substrate agreement.

S22 | October 12, 2026. October 28 results notice.

S23 | April 30, 2026. Issuer Q1 earnings deck.

S24 | July 30, 2026. Issuer Q2 results commentary.

S25 | April 30, 2026. Issuer Q1 results commentary.

S12 | Owner-supplied BofA-attributed semiconductor-substrate area chart, received October 6. Underlying report date and ABF split unknown. Preserved original hash ce20de14914b8b5fbb89557a5e0c6582168e316478dd5ec6af3146bc2493949f.

S18 | Owner original MLCC forecast excerpt, received October 12, author/date unknown. Original hash f3c2630b8197d5c63fe2781bbf1a359305c4bac21635c182ab17493f7ed2a4a5. Source forecast and LTA denominator are explicitly attributed.

S26 | Mirae Asset, October 20 single front page. Original hash 0991d409ab6e21d3ecf43b68ec69477144be5c46167a69e8255ee9fe92a6017d. Price assertions, forecasts and customer-mix beliefs have different confidence. Original licensed exhibits remain private.

The contract original is EUC-KR/CP949. Strict decoding produces identical Korean and a hash-bound UTF-8 extraction with no replacement characters. Keyterms and no-advance wording were checked against the original. Source financial numbers and original image pixels remain unchanged.

Technical precision supplement: controls

The values below reconcile the frozen model at the precision shown. Full precision is retained in the linked model. Whole-number main copy is for reading and does not round stored financial inputs. Source amounts with stated exact precision, basis-point charges and unit conversion remain as recorded.

Technical control	Value; shown precision
Multiple / unit factor	20 / 1000
Gross economic shares M	77.600680
Common / preferred units	74,693,696 / 2,906,984
Ordinary opex 2026-28 / 2029-30	0.120000 /0.115000
MLCC probability / exposure	0.400000 /0.800000
MLCC manufacturing / engineering	0.003500 /0.001500
MLCC net conditional residual 2027/28	0.025000 /0.055000
Package probability finite / outer	0.400000 /0.350000
Package ABF share / overlap	0.600000 /0.500000
Package manufacturing / opex through 2028	0.300000 /0.120000
Package contract KRW billion / USD million	360.487762500 /267.325000
Contract FX KRW/USD	1,348.500000
SiCap 2027 + 2028; KRW billion	600.000000 +957.034520 =1,557.034520
Q1 severance cost; KRW billion	71.400000
Q2 GP / opex / OP; KRW billion	844.500000 /404.100000 /440.400000
Active saved/current target KRW	1,334,335.701304 /1,350,472.886244
Target revision percent; shown precision	1.209380
Fresh active MLCC + package = total OP; KRW billion	39.608000 +23.004826230 =62.612826230

MLCC probability-weighted cost reconciliation

Quarter	Reference R	Conditional GP	Engineering	Weighted GP	Weighted OP
Q3 2026	1,850.000000	0.000000	0.000000	0.000000	0.000000
Q4 2026	1,950.000000	0.000000	0.000000	0.000000	0.000000
Q1 2027	1,870.000000	39.644000	2.244000	15.857600	14.960000
Q2 2027	2,040.000000	43.248000	2.448000	17.299200	16.320000
Q3 2027	2,210.000000	46.852000	2.652000	18.740800	17.680000
Q4 2027	2,380.000000	50.456000	2.856000	20.182400	19.040000
Q1 2028	2,420.000000	109.384000	2.904000	43.753600	42.592000
Q2 2028	2,640.000000	119.328000	3.168000	47.731200	46.464000
Q3 2028	2,860.000000	129.272000	3.432000	51.708800	50.336000
Q4 2028	3,080.000000	139.216000	3.696000	55.686400	54.208000
Q1 2029	2,860.000000	0.000000	0.000000	0.000000	0.000000
Q2 2029	3,120.000000	0.000000	0.000000	0.000000	0.000000
Q3 2029	3,380.000000	0.000000	0.000000	0.000000	0.000000
Q4 2029	3,640.000000	0.000000	0.000000	0.000000	0.000000
Q1 2030	3,300.000000	0.000000	0.000000	0.000000	0.000000
Q2 2030	3,600.000000	0.000000	0.000000	0.000000	0.000000
Q3 2030	3,900.000000	0.000000	0.000000	0.000000	0.000000
Q4 2030	4,200.000000	0.000000	0.000000	0.000000	0.000000

Package scope and price bridge

Quarter	Reference R	Eligible	ABF premium	Probability	Weighted price R
Q3 2026	900.000000	0.000000	0.000000	0.400000	0.000000
Q4 2026	1,050.000000	0.200000	0.100000	0.400000	3.864000
Q1 2027	1,056.000000	0.350000	0.210000	0.400000	11.679360
Q2 2027	1,152.000000	0.500000	0.331000	0.400000	26.565120
Q3 2027	1,248.000000	0.650000	0.464100	0.400000	50.369030
Q4 2027	1,344.000000	0.750000	0.610510	0.400000	80.298490
Q1 2028	1,430.000000	0.800000	0.544196	0.400000	82.028861
Q2 2028	1,560.000000	0.800000	0.477883	0.400000	79.554883
Q3 2028	1,690.000000	0.800000	0.411569	0.400000	75.425714
Q4 2028	1,820.000000	0.800000	0.345255	0.400000	69.641354
Q1 2029	1,760.000000	0.600000	0.000000	0.350000	14.784000
Q2 2029	1,920.000000	0.600000	0.000000	0.350000	16.128000
Q3 2029	2,080.000000	0.600000	0.000000	0.350000	17.472000
Q4 2029	2,240.000000	0.600000	0.000000	0.350000	18.816000
Q1 2030	2,090.000000	0.300000	0.000000	0.350000	8.778000
Q2 2030	2,280.000000	0.300000	0.000000	0.350000	9.576000
Q3 2030	2,470.000000	0.300000	0.000000	0.350000	10.374000
Q4 2030	2,660.000000	0.300000	0.000000	0.350000	11.172000

Quarter	Weighted price R	Manufacturing	Price opex	Price OP
Q3 2026	0.000000	0.000000	0.000000	0.000000
Q4 2026	3.864000	1.159200	0.463680	2.241120
Q1 2027	11.679360	3.503808	1.401523	6.774029
Q2 2027	26.565120	7.969536	3.187814	15.407770
Q3 2027	50.369030	15.110709	6.044284	29.214038
Q4 2027	80.298490	24.089547	9.635819	46.573124
Q1 2028	82.028861	24.608658	9.843463	47.576739
Q2 2028	79.554883	23.866465	9.546586	46.141832

Quarter	Weighted price R	Manufacturing	Price opex	Price OP
Q3 2028	75.425714	22.627714	9.051086	43.746914
Q4 2028	69.641354	20.892406	8.356962	40.391985
Q1 2029	14.784000	4.435200	1.700160	8.648640
Q2 2029	16.128000	4.838400	1.854720	9.434880
Q3 2029	17.472000	5.241600	2.009280	10.221120
Q4 2029	18.816000	5.644800	2.163840	11.007360
Q1 2030	8.778000	2.633400	1.009470	5.135130
Q2 2030	9.576000	2.872800	1.101240	5.601960
Q3 2030	10.374000	3.112200	1.193010	6.068790
Q4 2030	11.172000	3.351600	1.284780	6.535620

Four-term target reconciliation 1-5

Valuation quarter	Four consolidated OP terms; KRWb	F4OP	Multiple / shares M	Target KRW
Q3 2026	564.900000 + 669.041120 + 824.074029 + 907.007770	2,965.022918	20 /77.600680	764,174.468162
Q4 2026	669.041120 + 824.074029 + 907.007770 + 995.114038	3,395.236956	20 /77.600680	875,053.403149
Q1 2027	824.074029 + 907.007770 + 995.114038 + 1,086.773124	3,812.968960	20 /77.600680	982,715.347340
Q2 2027	907.007770 + 995.114038 + 1,086.773124 + 1,274.578494	4,263.473425	20 /77.600680	1,098,823.728081
Q3 2027	995.114038 + 1,086.773124 + 1,274.578494 + 1,384.689201	4,741.154856	20 /77.600680	1,221,936.420120

Four-term target reconciliation 6-10

Valuation quarter	Four consolidated OP terms; KRWb	F4OP	Multiple / shares M	Target KRW
Q4 2027	1,086.773124 + 1,274.578494 + 1,384.689201 + 1,493.839896	5,239.880715	20 /77.600680	1,350,472.886244
Q1 2028	1,274.578494 + 1,384.689201 + 1,493.839896 + 1,602.030581	5,755.138172	20 /77.600680	1,483,270.036335
Q2 2028	1,384.689201 + 1,493.839896 + 1,602.030581 + 1,554.698640	6,035.258318	20 /77.600680	1,555,465.317675
Q3 2028	1,493.839896 + 1,602.030581 + 1,554.698640 + 1,696.034880	6,346.603998	20 /77.600680	1,635,708.346333
Q4 2028	1,602.030581 + 1,554.698640 + 1,696.034880 + 1,837.371120	6,690.135221	20 /77.600680	1,724,246.545629

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Four-term target reconciliation 11-15

Valuation quarter	Four consolidated OP terms; KRWb	F4OP	Multiple / shares M	Target KRW
Q1 2029	1,554.698640 + 1,696.034880 + 1,837.371120 + 1,978.707360	7,066.812000	20 /77.600680	1,821,327.338884
Q2 2029	1,696.034880 + 1,837.371120 + 1,978.707360 + 1,845.765130	7,357.878490	20 /77.600680	1,896,343.818121
Q3 2029	1,837.371120 + 1,978.707360 + 1,845.765130 + 2,013.561960	7,675.405570	20 /77.600680	1,978,179.977289
Q4 2029	1,978.707360 + 1,845.765130 + 2,013.561960 + 2,181.358790	8,019.393240	20 /77.600680	2,066,835.816387
Q1 2030	1,845.765130 + 2,013.561960 + 2,181.358790 + 2,349.155620	8,389.841500	20 /77.600680	2,162,311.335416